

Maharashtra State Electricity Distribution Co. Ltd. v. M/s Shubhalaxmi Rice Mill

WP No. 5234 of 2016 & connected petitions (Bombay HC, Nagpur Bench) (2020)

High Court of Bombay (Nagpur Bench) (HC-SB) | 2020-04-27 | Bench: Manish Pitale J (1) | IK doc 130685179 | HC-014 | schema 1.0

Consuming electricity in excess of the sanctioned contract demand — causing a change of tariff category (LT to HT) — is 'unauthorised use of electricity' under Explanation (b)(iv) to Section 126 (following Seetaram Rice Mill); prior payment of penalty for exceeding contract demand does not bar a Section 126 assessment, and on a Section 127 appeal confined by remand to quantum, the Appellate Authority cannot re-open whether Section 126 applies.

GOOD-LAW as of 2026-07 · provision-version OK: True

§126 assessment: good-law; a faithful application of Seetaram Rice Mill (SC) on Explanation (b)(iv) and excess load.

§127 appeal: good-law on the binding effect of a quantum-only remand on the Section 127 Appellate Authority.

Not overruled. Applies the post-2007 Section 126 and Seetaram Rice Mill; note the fact-sensitive point that a subsequent tariff-order clarification (2016-17) cannot govern a bill for an earlier year.

FACTS & PROFILE

A batch of consumers (rice mills etc.) with a sanctioned contract demand of 100 KVA were found on joint inspection to have exceeded it, changing their tariff category from LT to HT. MSEDCL invoked Section 126, issued provisional and (after objections) final assessment bills at twice the tariff under Section 126(6). The Section 127 Appellate Authority twice quashed the bills holding it was not unauthorised use; after an earlier remand it did so again, prompting MSEDCL's writ petitions.

Procedural posture	Writ petitions (second round) by the licensee against Section 127 Appellate Authority orders
Outcome for	licensee
Relief granted	Appellate orders quashed; remand confined to quantum of assessment under Section 126.
Consumer category	industrial (rice mills), commercial
Fact-pattern	excess-load, exceeded-contract-demand-100KVA, LT-to-HT-category-change, penalty-already-paid-argument
State	Maharashtra
DISCOM / party	Maharashtra State Electricity Distribution Co. Ltd. (MSEDCL)
Statutory version	post-2007 (Act 26 of 2007) — Section 126(6) twice the tariff and Explanation (b)(iv) as interpreted in Seetaram Rice Mill

Disposition: Writ petitions allowed; the Appellate Authority's orders quashed for defying the settled position that Section 126 applies; proceedings remanded solely for determination of the quantum of assessment, after opportunity to both sides.

ISSUES FRAMED

1. Wherever the consumer consumes electricity in excess of the maximum of the contracted load, would the provisions of Section 126 of the 2003 Act be attracted on its true scope and interpretation ?

INTERPRETATION OF THE ELECTRICITY ACT

Provisions construed: s.126, s.126 Explanation (b)(iv), s.126(3)-(6), s.127 (appeal)

s.126 Explanation (b)(iv)

ratio

post-2007

excess-load-is-unauthorised-use

§126 assessment

Consumption in excess of the sanctioned contract demand, causing a change of tariff category (LT to HT), is 'unauthorised use of electricity' squarely covered by Explanation (b)(iv) to Section 126; the consumers' cases stood clearly covered under Section 126.

“the present cases of the respondent consumers stood clearly covered under Section 126 of the aforesaid Act”

— para 18

s.126

ratio

post-2007

no-intention-for-126

§126 assessment

§135 mens rea

Following Seetaram Rice Mill (para 35), intention is not the foundation for invoking Section 126; all that need be ascertained is whether the consumer exceeded the contract load resulting in usage beyond it.

“It has been categorically held in paragraph 35 of the said judgment that intention is not the foundation for invoking powers of the competent authority and passing an order of assessment under Section 126 of the aforesaid Act.”

— para 16

s.126

ratio

post-2007

prior-penalty-no-bar-to-126

§126 assessment

Even where penalty @150% has already been levied for exceeding the contract demand under the Regulatory Commission's tariff order, the consumer remains liable to pay charges for unauthorised use of electricity under Section 126.

“even if penalty @150% had been already levied as per the tariff order issued by the Regulatory Commission for the year 2009-10, the respondent consumers were liable to pay charges for unauthorized use of electricity under Section 126 of the Act.”

— para 13

s.127

ratio

post-2007

appeal-scope-on-remand

§127 appeal

§126 assessment

Where the High Court has remanded a Section 127 appeal confined to quantum, the Appellate Authority cannot re-open the settled question whether Section 126 applies; the only question open to it is the quantum of assessment in the final bills.

“The only question that could have been considered was regarding the quantum of assessment in the final assessment bills issued by the petitioner company under Section 126 of the aforesaid Act.”

— para 23

REGULATIONS / SUPPLY CODE CONSTRUED

- **MERC Tariff Orders (penalty for exceeding contract demand; LT/HT categories)** — implements tariff / s.126 interface (made under Electricity Act, 2003)

AUTHORITIES CITED

Executive Engineer, Southern Electricity Supply Co. of Orissa Ltd. (Southco) v. Sri Seetaram Rice Mill

(2012) 2 SCC 108 · Supreme Court (3-Judge)

followed

Cited for: Explanation (b)(iv) to Section 126 covers cases where electricity is consumed in excess of the sanctioned load, particularly when it amounts to a change of category and tariff; excess-load consumption is squarely covered by Explanation (b)(iv).

“Explanation (b)(iv), thus, would also cover the cases where electricity is being consumed in excess of sanctioned load, particularly when it amounts to change of category and tariff.”

— as quoted in the judgment

“the law laid down by the Hon ble Supreme Court in the case of Executive Engineer vs. Sri Seetaram Rice Mill (supra) is absolutely clear and applying the same to the facts and circumstances of the present cases”

— the Court’s own treatment

M/s Sri Ram Industries v. State of Bihar

CWJC No. 1546/2014 (Patna HC) · Patna High Court

distinguished

Cited for: Relied on by the consumers to resist Section 126; held inapplicable in the face of Seetaram Rice Mill.

M/s Akshay Roll Mills Pvt. Ltd. v. Jharkhand State Electricity Board

WP No. 454/2010 (Jharkhand HC) · Jharkhand High Court

distinguished

Cited for: Relied on by the consumers; held inapplicable in the face of Seetaram Rice Mill.

RATIO & WHAT WAS DECIDED

§126 assessment

HC-SB (Bombay, Nagpur Bench)

applies

Consuming electricity beyond the sanctioned contract demand, resulting in a change of tariff category, is unauthorised use under Explanation (b)(iv) to Section 126 (Seetaram Rice Mill); the assessment follows Sections 126(3)-(6), and prior payment of a contract-demand penalty is no bar to it.

§127 appeal

HC-SB (Bombay, Nagpur Bench)

settles

On a Section 127 appeal remanded solely on quantum, the Appellate Authority is bound by the finding that Section 126 applies and cannot re-litigate applicability; its remit is confined to the quantum of assessment.

SIGNIFICANCE

A Bombay (Nagpur Bench) authority applying Seetaram Rice Mill to hold that excess-load consumption beyond the sanctioned contract demand, changing the tariff category, is unauthorised use under Explanation (b)(iv) to Section 126, that a prior contract-demand penalty does not bar a Section 126 assessment, and that a Section 127 Appellate Authority cannot, after a quantum-only remand, re-open the applicability of Section 126. Useful on the excess-load/change-of-category limb of Section 126 and on the scope of the Section 127 appeal on remand.

FLAGS

excess-load / change-of-category => unauthorised use under Explanation (b)(iv)

prior contract-demand penalty is NO bar to s.126 assessment

s.127 appeal on quantum-only remand cannot re-open s.126 applicability

applies Seetaram Rice Mill (reproduces paras 70-72, 76)

subsequent tariff order cannot test an earlier-year bill

post-2007-text

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